

Monetary and Fiscal Policy Reforms

Monetary and Fiscal Reforms since 1991

Monetary Reforms

OBJECTIVES

- **Twin objectives** of “maintaining price stability” and “ensuring availability of adequate credit to productive sectors of the economy to support growth” **continue to govern the stance of monetary policy**, though the relative emphasis on these objectives has varied depending on the importance of maintaining an appropriate balance.
- Reflecting the increasing development of financial market and greater liberalisation, **use of broad money** as an intermediate target has been de-emphasized and a **multiple indicator approach** has been adopted.
- Emphasis has been put on **development of multiple instruments to transmit liquidity and interest rate signals** in the short-term in a flexible and bi-directional manner.
- Increase of the **interlinkage between various segments of the financial market** including money, government security and forex markets.

INSTRUMENTS

- Move **from direct instruments** (such as, administered interest rates, reserve requirements, selective credit control) **to indirect instruments** (such as, **open market operations, purchase and repurchase of government securities**) for the conduct of monetary policy.
- Introduction of **Liquidity Adjustment Facility (LAF)**, which operates through **repo and reverse repo auctions**, effectively provide a corridor for short-term interest rate. LAF has emerged as the tool for both liquidity management and also as a signalling device for interest rate in the overnight market.
- Use of **open market operations** to deal with overall market liquidity situation especially those emanating from capital flows.
- Introduction of **Market Stabilisation Scheme (MSS)** as an additional instrument to deal with enduring capital inflows without affecting short-term liquidity management role of LAF.

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DEVELOPMENTAL MEASURES

- **Discontinuation of automatic monetisation** through an agreement between the Government and the Reserve Bank. Rationalisation of Treasury Bill market. Introduction of delivery versus payment system and deepening of inter-bank repo market.
- **Introduction of Primary Dealers in the government securities market** to play the role of market maker.
- Amendment of Securities Contracts Regulation Act (SCRA), to create the regulatory framework.
- **Deepening of government securities market** by making the interest rates on such securities market related. Introduction of **auction of government securities**. Development of a risk-free credible yield curve in the government securities market as a benchmark for related markets.
- Development of **pure inter-bank call money market**. Non-bank participants to participate in other money market instruments.
- Introduction of **automated screen-based trading** in government securities through Negotiated Dealing System (NDS). Setting up of risk-free payments and system in government securities through Clearing Corporation of India Limited (CCIL). Phased introduction of Real Time Gross Settlement (RTGS) System.
- Deepening of forex market and increased autonomy of Authorised Dealers.

INSTITUTIONAL MEASURES

- Setting up of **Technical Advisory Committee on Monetary Policy** with outside experts to review macroeconomic and monetary developments and advise the Reserve Bank on the stance of monetary policy.
- Creation of a separate Financial Market Department within the RBI.
- Introduction of **Monetary Policy Framework**:
 - Monetary Policy Committee with dual objective of price stability and growth.
 - Inflation Target Range: 2% to 6%
 - Inflation Metric: CPI-Combined;
- **Liberalization of Interest Rates (1990s)**: India began the process of deregulating interest rates in the 1990s, allowing banks to set their own lending and deposit rates. This move aimed to increase competition and efficiency in the banking sector.

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NARASIMHAM COMMITTEE RECOMMENDATIONS:

- **Statutory Liquidity Ratio (SLR)** on incremental Net Domestic and Time Liabilities (NDTL) reduced from 38.5 percent in 1991-92 to 28 percent by December 1996.
- **Effective Cash Reserve Ratio (CRR)** on the NDTL reduced from 14 percent to 10 percent in January 1997.

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Fiscal Reforms

TAX REFORMS

1. Chellaiah's Tax Reforms Committee, 1991

The tax reforms committee (TRC) was **tasked to examine the existing tax structure** in the country and make appropriate recommendations to reform in order to make the system fair, broad based, elastic and more tax compliant.

Implementation of the TRC Recommendations on Direct and Indirect Tax

In respect of **Direct Taxes**, the progress of implementation of TRC recommendations so far has been as follows:

- i) **Personal Income tax** has been restructured with **lower tax rates**, (10%, 20% and 30%), fewer scales, a **higher exemption limit** and **reduced saving limit tax exemptions**;
- ii) There is now only **one rate of separate income tax for all domestic companies** (30%);
- iii) **Wealth tax** on all assets, other than those termed as unproductive assets, has been abolished;
- iv) **Taxation of capital gains** has been **restructured so that only capital gains of price increases would be taxed**; and
- v) Shift in the structure of taxes towards direct taxes (direct taxes to GDP ratio has increased to 5.7%).

Implementation of the TRC recommendations in respect of **indirect taxes** is as follows:

- a) **Import duties** have been reduced; The **peak level of customs duty** has been reduced to 10%;
- b) Reforms in the **Excise Duties** have been guided by the need to **simplify the rate structure to**:
 - i. give some relief to articles of mass consumption,
 - ii. help the domestic capital goods industry so as to increase its competitiveness,
 - iii. reduce capital costs, assist industries suffering from depressed demand conditions and
 - iv. provide relief to small-scale industries;

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2. Shome Committee, 2001

The **Planning Commission constituted an advisory group headed by Dr. Parthasarathi Shome** to make appropriate recommendations on Tax policy and Tax Administration. The 5-member group submitted an Interim Report in February, 2001 and Final Report in May, 2001. The Report is known as **The Report on Tax Policy and Tax Administration** (for the 10th Plan).

3. Kelkar's Task Force, 2002

Main Recommendations on **Direct Taxes** Relate to

1. Raising the exemption limit of personal income tax;
2. Rationalization of exemptions;
3. Abolition of concessional treatment to long term capital goods;
4. Reducing rates of corporate tax; and
5. Abolition of wealth tax.

Main recommendations on **Indirect Taxes** relate to

- i) widening of the tax base;
- ii) lowering the tax rates; and
- iii) expansion in the coverage of service tax

4. Goods & Services Tax (GST)

It was launched on 1st July, 2017 in a special session of Parliament.

About Goods and Services Tax (GST) and its present structure

- GST is a destination-based indirect tax and is levied at the final consumption point.
- Under GST, 17 indirect taxes like excise duty, VAT, service tax, luxury tax etc are subsumed.

Taxes not subsumed under GST: Basic Custom Duty, Anti-Dumping Duty, Central Excise on Petroleum Products, VAT on alcohol for human consumption, Stamp Duty, Property Tax (levied by local bodies), Professional Tax etc.

From Government's perspective, it is easier to collect and reduces tax evasion, for customer it is easier to understand & will reduce tax burden and for industry, it ensures that there is no cascading effect of the tax and there is harmonization of tax laws, procedures and rates of tax

As of **September 2025/2026**, the GST structure in India has been significantly overhauled to simplify the system. The 12% and 28% slabs have largely been replaced.

The Updated Slabs are:

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- **0% (Essential):** Fresh food, milk, education, and healthcare.
- **5% (Merit):** Daily needs like packaged food, toiletries (shampoo/soap), and life-saving drugs.
- **18% (Standard):** This is now the "primary" slab for most items, including electronics (TVs, Fridges) and small cars which were previously at 28%.
- **40% (Luxury/Sin):** A new unified slab for de-merit goods (tobacco, luxury cars, aerated drinks), replacing the old "28% + Cess" model.

5. Reduced Corporate Tax

In **September 2019**, the government had lowered the **corporate tax rate** for established domestic **enterprises** from 30 percent **to 22 percent** and further reduced it to **15 percent for new manufacturing companies** that commenced operations within a specified time period.

7. Abolition of Dividend Distribution Tax

DDT was a tax charged on the dividends distributed by companies and fund houses to their investors. Under Section 115-O of the IT Act, the entities were required to deduct DDT @15% from the gross dividend payments. Under Section 2(22)(e), the **Dividend Distribution Tax** rate was 30% in cases of dividend payments on presumed profits.

Previously, Once the company or fund house had paid DDT on the dividends to the government, there were no tax implications of the dividend payment for the shareholders. In other words, the dividends were tax-free in the hands of the shareholders or investors.

However, In Budget 2020, the finance minister abolished the Dividend Distribution Tax (DDT). Now the incidence of dividend income taxation is shifted to investors from the companies. Now they attract **TDS @ 10%**.

EXPENDITURE REFORMS

1. Expenditure Reforms Commission, 2000: The important recommendations of the ERC are the following:

- Food subsidy should be reduced** by allowing it only to the population below the poverty line.
- Fertiliser subsidies** which have grown over the years should be withdrawn in a phased manner. **Fertiliser industry should be completely decontrolled** in course of time as a result of the implementation of this recommendation.

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- iii) The ERC also **considered downsizing the government**. It found that there is excess staff in the government. There should be complete ban on creation of new posts for two years.

2. Rationalization of Subsidies

The major components of non-plan expenditure are: i) defence expenditure, ii) interest payments and iii) subsidies. These three, together account for more than 70% of the non-plan expenditure.

When economic reforms were initiated in 1991 – **three subsidies – food, fertiliser and export development subsidies** – were considered as the major subsidies, accounting for 1.7% of GDP.

These three subsidies accounted for more than 75% of all subsidies in the 1990s. In the beginning of 1991, export development subsidies were abolished as part of the reform programme.

3. Fiscal Responsibility and Budgetary Management Act

Objectives of the FRBM Act 2003 –

To **eliminate the Revenue deficit** of the government and to **reduce the fiscal deficit to 3% of GDP** and to ensure **better fiscal discipline** of the government by **ending the practise of monetisation** of fiscal deficit (borrowing from the RBI).

Fiscal Responsibility and Budget Management Act (FRBM) review committee:

Government constituted the **Committee in May, 2016** under the Chairmanship of **Shri N.K. Singh**, former Revenue and Expenditure Secretary and former Member of Parliament.

Following are the **main recommendations** of the NK Singh Committee:

1. The **combined debt-to-GDP ratio** of the centre and states should be brought down to **60 per cent** by FY2022-23 (comprising of **40 per cent for the Centre and 20% for states**) as against the existing 49.4 per cent, and 21per cent respectively.
2. **Fiscal deficit as the operating target:** The Committee advocated fiscal deficit as the operating target to bring down public debt. For fiscal consolidation, the centre should reduce its fiscal deficit from the current 3.5% (2017) to 2.5% by FY2022-23.

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